

Large Cap Institutional Composite

As of 2/28/2015



Investment Approach

- The strategy seeks undervalued or misunderstood investment opportunities in large capitalization companies. The strategy generally invests in companies for which investors fail to distinguish between permanent and transitory problems. Despite the strategy's bottom-up approach, thematic exposures can evolve across holdings. Hence, careful attention is paid to underlying earnings and sector concentrations.
- The strategy emphasizes large capitalization companies but may invest across all market capitalizations. The strategy may invest in non-US companies and, on a limited basis, participate in special situation opportunities.

Portfolio Construction

- The strategy generally seeks to avoid significant portfolio turnover which has historically averaged 20 to 25% per annum.
- The portfolio typically invests in 35 to 65 securities and position sizes generally range from 0.5% to 10.0%.
- The portfolio seeks to manage co-dependency across business models and does not measure risk versus a specific benchmark.

Investment Time Horizon:
5+ Years

Representative Benchmark:
S&P 500

Asset Under Management:

Horizon Kinetics (\$bln)	9.2
Horizon Institutional (\$bln)	3.3
Strategy (\$mm)	185
Composite (\$mm)	160

Inception Date:
January 1996

Portfolio Manager:
Murray Stahl
37 yrs investment experience

(1) Horizon Kinetics LLC is the parent company to Horizon Asset Management LLC, Kinetics Asset Management LLC, and Kinetics Advisers, LLC, each of which is an SEC-registered investment adviser.

(2) Horizon Institutional is defined as the traditional, long only separate accounts and private investment fund assets managed by Horizon Asset Management LLC. Horizon Institutional excludes separately managed, non-direct accounts and other accounts that either are serviced by wrap/dual contract sponsors or utilize a wrap or bundled fee structure. Please refer to Important Disclosures on the following page.

Performance Statistics	MTD	QTD	YTD	1 Yr	3 Yrs	5 Yrs	10 Yrs	ITD
Total Return (gross)	7.4	5.0	5.0	5.3	17.5	15.8	9.8	12.7
Total Return (net)	7.3	4.8	4.8	4.2	16.4	14.6	8.7	11.6
S&P 500 Return	5.7	2.6	2.6	15.5	18.0	16.2	8.0	8.6
Excess Return (gross)	1.6	2.4	2.4	-10.2	-0.5	-0.4	1.8	4.1
Standard Deviation (%)	—	—	—	11.7	12.0	16.1	18.6	16.2
Tracking Error (%)	—	—	—	5.0	6.1	6.3	7.6	10.0
Sharpe Ratio	—	—	—	0.5	1.4	1.0	0.5	0.7
Information Ratio (arith)	—	—	—	-2.0	-0.1	-0.1	0.2	0.4
Beta	—	—	—	1.3	1.1	1.1	1.2	0.8
UpMkt Capture Ratio (%)			128	81	100	108	117	98
Down Capture Ratio (%)			73	188	105	120	114	75

Top 10 Holdings

	% Port
Howard Hughes Corporation	7.9%
Liberty Media Corp Class C	5.3%
AutoNation, Inc.	4.7%
L Brands, Inc.	4.5%
Onex Corporation	4.0%
DISH Network Corporation Class A	4.0%
Viacom Inc. Class B	3.3%
BOLLORE INVESTISSEMENT SHS	2.8%
MasterCard Incorporated Class A	2.8%
Liberty Media Corp. Class A	2.7%

Strategy Characteristics

Number of Positions	69
Avg. Market Cap. (B)	26.3
P/E ⁽¹⁾	21.5
Price/Book ⁽¹⁾	2.3
Dividend Yield	0.9%
Turnover (1 Year) ⁽²⁾	7.8%

(1) Weighted Harmonic Average

(2) Based on Model Portfolio

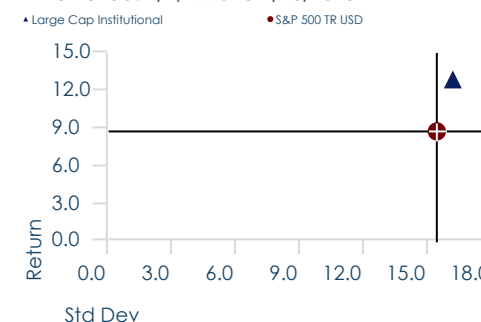
Cumulative Growth of \$100 (gross)

Time Period: 12/31/1995 to 2/28/2015



Risk/Reward (gross)

Time Period: 1/1/1996 to 2/28/2015



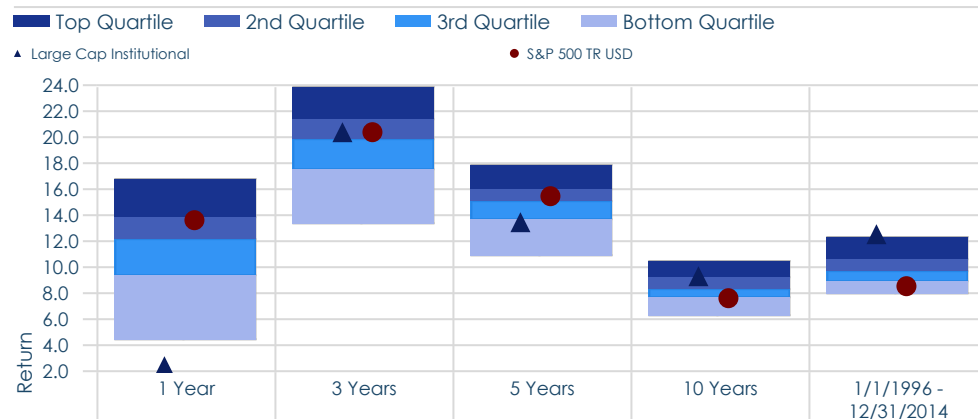
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Performance Relative to Peer Group (gross)

As of Date: 12/31/2014 Peer Group (5-95%): Morningstar - Large Cap



Monthly Performance (gross)

	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	YTD	Index
2015	-2.2	7.4											5.0	2.6
2014	-4.7	7.2	-1.2	-1.5	1.8	3.0	-2.6	3.6	-4.3	1.1	3.1	-2.3	2.4	13.7
2013	6.3	0.0	4.0	4.2	1.6	-1.0	4.9	-2.2	7.5	3.8	1.5	1.8	36.9	32.4
2012	6.5	6.1	0.9	1.0	-7.1	2.9	1.5	4.6	3.2	2.2	-1.1	2.3	24.7	16.0
2011	1.2	6.1	2.0	3.0	-1.3	-2.2	-2.1	-7.0	-11.7	13.8	-3.9	-2.1	-6.4	2.1
2010	-6.0	1.6	7.6	2.3	-8.7	-3.5	7.1	-4.7	9.0	3.6	2.0	6.3	15.6	15.1
2009	-10.5	-10.8	8.6	14.2	12.3	-2.2	7.8	1.5	4.7	-3.2	4.1	3.0	29.2	26.5
2008	-9.5	-3.8	-3.9	7.0	1.5	-10.6	-2.6	-1.2	-10.0	-20.0	-8.2	0.2	-48.2	-37.0
2007	1.9	-0.9	0.8	2.7	6.3	0.8	-0.4	1.1	10.3	9.9	-4.7	1.4	32.2	5.5
2006	5.8	1.0	2.0	2.2	-0.6	0.3	1.5	0.3	0.6	4.8	5.6	1.4	27.4	15.8
2005	-2.5	4.0	0.0	-0.1	1.8	2.7	4.5	3.2	2.4	-4.9	2.8	0.9	15.4	4.9
2004	0.4	2.6	0.4	-1.0	1.5	0.8	0.1	0.4	3.3	3.5	4.6	2.8	20.9	10.9
2003	-2.2	-2.0	0.6	7.4	5.8	0.4	-1.4	2.9	1.2	4.6	2.3	5.8	27.7	28.7
2002	0.3	1.5	1.2	-0.3	0.1	-4.8	-1.5	1.7	-2.6	2.4	0.9	0.5	-0.8	-22.1
2001	-2.4	1.1	-2.7	1.3	1.7	-0.5	1.8	-1.8	-1.7	-0.5	1.8	2.1	-0.1	-11.9
2000	2.3	-11.5	11.7	1.8	1.6	-1.1	-0.2	2.6	4.7	1.7	2.1	5.3	21.1	-9.1
1999	-1.4	2.0	2.5	3.6	-5.7	3.1	-3.3	-2.7	-3.9	8.8	-1.4	-2.0	-1.3	21.0
1998	3.5	5.5	5.6	2.2	0.0	7.5	-2.2	-13.9	5.4	6.0	5.8	4.1	31.5	28.6
1997	5.6	1.8	-3.4	6.8	5.7	7.6	3.3	-5.9	6.9	-1.8	3.8	4.1	39.4	33.4
1996	2.9	-1.1	2.2	1.0	0.8	0.3	-5.6	4.5	3.7	-0.3	7.6	-1.3	15.1	23.0

Source: Morningstar Direct

Definitions: Historical Statistics

- Excess Return is the measurement of a portfolio's return minus the return of the representative index.
- Standard Deviation is a statistical measure of the degree to which an individual value in a probability distribution tends to vary from the mean of the distribution.
- Tracking Error is the standard deviation of a portfolio's return relative to a benchmark.
- Risk Adjusted Return is a measure of how much an investment returned in relation to the amount of risk it took on; specifically, it is the ratio of strategy return over its volatility.
- Information Ratio is a ratio of portfolio returns above the returns of a benchmark (usually an index) to the volatility of those returns.
- Beta is a measure of the volatility, or systematic risk, of a security or a portfolio in comparison to the market as a whole.
- Up-Market Ratio is the statistical measure of an investment manager's overall performance in up-markets. The ratio is calculated by dividing the manager's returns by the returns of the index during the up-market.
- Down-Market Ratio is the statistical measure of an investment manager's overall performance in down-markets. The ratio is calculated by dividing the average manager's returns by the average returns of the index during the down-market.
- Turnover is the lower of total buys or total sells divided by the average market value of the account. Turnover ratio is calculated by Fiserv APL.

Important Disclosures

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Horizon Institutional claims compliance with the Global Investment Performance Standards (GIPS®).

The Large Cap Institutional Composite seeks above market long-term returns by investing primarily in a focused portfolio of common stocks of global issuers with a particular emphasis on larger capitalization companies that have the ability to generate high and sustainable returns on invested capital, leading to a long-term compounding of book value.

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